

Power Finance Corporation Ltd

Investment Rating : Weak

Company Overview

Website	https://www.pfcindia.com/
Sector	nan
Market Cap	2,011,885.81 Cr
PE Ratio	35.6
PB Ratio	6.59
Dividend Yield	0.42 %

Financial Quality

ROE	19.49
ROCE	9.96
CFO Quality	Accrual Risk
FCF CAGR	nan%
Capital Pattern	Aggressive

Capital Allocation

Capital Score	50.0
Reinvestment	Low Reinvestment
Debt Trend	Increasing Debt
Leverage	Very High

Business Overview

Power Finance Corporation Ltd. is an Indian public sector company engaged in infrastructure finance activities.

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

Debt-to-equity ratio of 8.52 is elevated for a non-financial company and warrants monitoring.
Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations.
Rising debt over the past 3 years suggests increasing financial leverage risk.
Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.
Net debt exceeding three times operating profit indicates elevated financial leverage.